

Public Economics and Development

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Class Hours: Tuesdays 9AM-12PM

Office Hours: Tuesdays 2-4PM ([Sign up here](#))

Classroom: Innovative Incubation Hall A09

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1 Course Description

Public economics addresses the roles of the government in the markets and their effects on the economy. It collects taxes and delivers essential public goods and services that private entities are not well-equipped to provide. It employs public workers managing and executing these services, often being a major employer in many countries. While taxes, public expenditures, and personnel are also crucial in the economic life of any country, developing countries face challenges that often do not exist in more developed countries.

This course covers topics in public economics, focusing on the challenges governments in middle- and low-income countries face. The course will begin by covering classical theories in optimal taxation. Then, the course will cover both applied theory and empirical papers highlighting challenges in collecting taxes, providing anti-poverty programs and other public services, and organizational capacity of public institutions in developing countries.

By the end of the semester, students should be able to explain key concepts in public economics from both developed- and developing-country perspectives, critically evaluate theoretical and empirical evidence in published papers, and develop original research ideas addressing open questions in the relevant literature.

2 Prerequisites

- Micro/macroeconomics: The models discussed in the class are largely based on constrained optimization and principal-agent problems. Understanding how these problems are set up is crucial in absorbing the topics of this course.
- Familiarity with statistical inference: The course involves assessing empirical evidence from developing countries. Understanding of statistical inference is a prerequisite for interpreting the findings. You must have taken or concurrently take quantitative methods course, with emphasis on regression analysis.

3 Lecture Materials and topics

Lecture materials are composed of slides that summarize the textbooks and designated academic journals articles for each topic, which are included in the latter half of this syllabus. The following textbooks are used throughout the semester. The slides covering key concepts in these textbooks will be uploaded on eeclash, so there is no need to purchase for the sake of this class.

- Atkinson, A., and Stiglitz, J. [AS] (2015) *Lectures on Public Economics*, Princeton University Press
- Besley, T., and Persson, T. [BP] (2011) *Pillars of Prosperity*, Princeton University Press
- Hindriks, J., and Myles, G. D. [HM] (2013) *Intermediate Public Economics*, MIT Press

The following books are other useful references for public and development economics.

- (Undergraduate level) Gruber, J. (2022) *Public Finance and Public Policy: Seventh edition*, Worth Publishers
- (Undergraduate level) Roland, G. (2014) *Development Economics*, Pearson
- (Advanced level) Salanié, B., (2011) *The Economics of Taxation: Second edition*, MIT Press

The following books are useful reference for empirical evaluation

- Angrist, J., Pischke, J-S., (2009) *Mostly Harmless Econometrics: An Empiricist's Companion*, Princeton University Press
- Cameron, A. C., and Trivedi P. (2005) *Microeconometrics: Methods and Applications*, Cambridge University Press
- Stock, J., and Watson, M. (2020) *Introduction to Econometrics, Fourth edition*, Pearson

The topics covered in this course are as follows:

1. Stylized facts and classical theories on optimal taxation: Governments want to design tax systems that raise sufficient revenues while minimizing distortion in economic activities and maintaining fairness. How drastic are problems with inequality and welfare across countries and time? How are optimal tax collection and public goods provision achieved in developed countries? Why are these difficult to achieve in developing countries?
2. Fiscal capacity in developing countries: Tax collection in developing countries are different from that of developed countries. What theories and empirical evidence explain these differences? How does presence of large informal economy affect tax collection? How are developing countries adopting their tax structure to increase their fiscal capacities?
3. Anti-poverty programs and public service provision: Public goods, especially transfers to poor households, are a huge part of government expenditures. How should these programs be designed: Should it be in cash or in-kind transfers? Should it be provided in the form of universal income or means-tested provisions? How should these spendings be targeted?
4. Organizational capacity of the state: Public sector is the largest employer in many countries, but are often inefficiently managed. How could the optimal allocation of authority across bureaucrats and managers be achieved? How can the public sector recruit capable and motivated individuals? How do the public sector incentivize and monitor the workers?

4 Grading policy and deadlines

Referee report - 20% (Due: March 31st and May 19th)

Students will write **two** referee reports on not-yet published papers, assuming that they are referees for a top field journals (e.g. *Journal of Public Economics*, and *Journal of Development Economics*). Each report includes a **200-word summary** of the paper, a **1500-word assessment** of its strengths and weaknesses, separating critical matters and minor issues in the paper. This assignment develops a framework for critically engaging with scholarly work. Students can refer to tips on writing reports found [here](#) and [here](#).

Papers that can be chosen for referee reports are as follows. Students must choose at least one paper from each topic. These papers will be uploaded on eclass. Collaboration is **not** allowed for this assignment.

Topic 1: Expansion of revenue-generating capacity in developing countries - Due: March 31st

- Decet, D. "Organizing Fiscal Capacity"
- Manwaring, P., and Regan T. "No shame in my name: Public disclosure and tax compliance in a low-capacity state"

Topic 2: Organizational concerns in public service provision - Due: May 19th

- Oré-Quispe, S. "Outcome- and Input-Based Incentives: Experimental Evidence from a Municipal Incentive Program in Peru"
- Caloi, L., and Ciccarone, A. "Bonus or Budget? Equity-Efficiency Tradeoff in Performance-Based Transfers"

Problem sets - 20% (Due: April 14th, May 12th, and June 9th)

There will be 3 problem sets assigned throughout this semester. Each problem set is comprised of questions testing the problem-solving skills on theoretical models and empirically replicating and extending an academic paper. For each student, **only the two problem sets with the highest scores** will be counted towards the grade. Collaboration is allowed, but each student must write and submit their own answers and codes, while identifying their collaborators.

Theoretical model sections include questions asking students to solve the mathematical model, and to state the implications of the models in plain English. For some questions, the models will be extended beyond what was discussed in class. For full credit, all derivation should be demonstrated without error and logical jumps.

In the **empirical sections** of the problem set, students will be asked to write codes and produce results that replicate and extend parts of the paper assigned for the problem set. Students should submit the codes they used as well as the answers (tables and figures) for full credit.

Research proposal and virtual paper - 30% (Due: April 28th and June 2nd)

The task is to develop a viable plan for a paper that clearly motivates the research question, explains the background, data, and empirical strategy. If possible, some preliminary results that support the argument should be included in the paper. The aim of this exercise is to aid students in building up the papers that would be included in their thesis. As each student has different research ideas and specialities, students should frequently discuss their research idea with me or other professors at TSE.

This task is composed of two parts. For the first part, you must submit a **2-page preliminary research proposal** that outlines your research question, expected contribution, background, and potential data sources and empirical strategy. The deadline for this assignment is on April 28th. This task composes 10% of the final grade.

The second part of the task is to **amend and extend** the research proposal to a virtual paper based on the comments on the first version of the proposal. The paper does not need to be complete—a **half-finished but original and exciting project is preferred over a complete yet uninteresting one**. Depending on the progress and data availability, some students may be asked to produce preliminary results. The deadline for this portion of the assignment is June 2nd. Depending on enrollment, there may be a presentation on the paper on June 2nd. This task composes 20% of the final grade.

The paper should be written **in a scholarly article format**. For instance:

1. Introduction: What is your research question? Why is it important from a scholarly or policy standpoint?
2. Literature review: What is the gap in the relevant literature? How are you filling that gap?
3. Background: What is the relevant information on the context that you are studying?
4. Data: What data source are you using or planning to use? Why should it be that dataset?
5. Empirical strategy: What statistical methods do you use? How do they allow for causal inference? What are the potential threats to that inference?
6. Preliminary results: What are the statistical relationships that you have found so far?
7. Mechanism and falsification tests: What factors may explain your main results? What are your plans to address potential factors that may nullify your findings?

Final Exam (30%) - June 9th

There will be a cumulative exam at the end of the semester. The questions will assess your understanding of the theoretical frameworks covered and ask you to connect an empirical finding—either provided in the exam or drawn from the reading list—to a relevant theory. Exact format of the exams (take-home or in-person) will be announced around May.

5 Rules on collaboration and AI usage

Rules regarding collaboration

Some assignments will allow for collaboration. In such case, (1) each student must write their own assignments, and (2) must clearly identify their collaborators.

Rules regarding AI usage

AI tools may be used for assistive purposes only—such as proofreading, grammar checking, and coding support. Using AI to generate complete assignments - papers, problem sets, and exams - is strictly prohibited. All submitted work must be original writing and analysis. To ensure originality, all submitted works will be subject to screening by AI detection program such as Turnitin. Any use of AI must be properly disclosed to the instructor. Violations will be treated as academic dishonesty and subject to disciplinary action under university policies.

6 Schedule and reading list

Papers marked with an asterisks are going to be discussed in this class. I will usually cover 4-6 papers per week. These are the papers that are included in the final exams. Those without asterisks are still important and relevant papers that I leave for your own further reading.

6.1 Note: Classes rescheduled

- No classes on March 24th and 31st (Attending International Conference)
- Classes rescheduled to April 3rd (online) and April 10th (in-person) - venues and times TBA

6.2 Course Introduction and empirical analysis: Weeks 1-2

Course organization, and introduction to public economics in developing countries

- *Bachas, Pierre, Anders Jensen, and Lucie Gardenne (2024), "Tax Equity in Low- and Middle-Income Countries", *Journal of Economic Perspectives*, 38(1), 57-80.
- *Besley, Timothy, and Maitreesh Ghatak (2006), "Public Goods and Economic Development", in *Understanding Poverty*, ed. by Abhijit Banerjee, Ronald Bénabou, and Dilip Mookherjee, Oxford University Press, 295-315.
- Besley, Timothy, and Torsten Persson (2013), "Taxation and Development", in *Handbook of Public Economics*, Volume 5, ed. by Alan J. Auerbach, Raj Chetty, Martin Feldstein, and Emmanuel Saez, Elsevier, 51-110.
- *Besley, Timothy, and Torsten Persson (2014), "Why Do Developing Countries Tax So Little?", *Journal of Economic Perspectives*, 28(4), 99-120.
- Besley, Timothy, Robin Burgess, Adnan Khan, and Guo Xu (2022), "Bureaucracy and Development", *Annual Review of Economics*, 14, 397-424.

- *Finan, Frederico, Benjamin Olken, and Rohini Pande (2017), "The Personnel Economics of the Developing State", in *Handbook of Economic Field Experiments*, Volume 2, ed. by Abhijit Banerjee, and Esther Duflo, Elsevier, 467-514
- Luttmer, Erzo, and Monica Singhal (2014), "Tax Morale", *Journal of Economic Perspectives*, 28(4), 149-168

Econometrics used in public economics

I highly recommend students to bring laptops to class to follow along.

- Conceptualizing Treatment (Policy) Effects
- Ordinary least squares and randomized control trials
- Panel regression
- Instrumental variable methods
- Difference-in-differences, event studies, and regression discontinuity

6.3 Classical theories on taxation and public economics: Week 3-5

Inequality across time and countries

- *Acemoglu, Daron, and Pascual Restrepo (2022), "Tasks, Automation, and the Rise in US Wage Inequality", *Econometrica*, 90(5), 1973-2016.
- * Auten, Gerald, and David Splinter (2024), "Income Inequality in the United States: Using Tax Data to Measure Long-Term Trends", *Journal of Political Economy*, 132(7), 2179-2227.
- Autor, David, and David Dorn (2013), "The Growth of Low-Skill Service Jobs and the Polarization of the US Labor Market", *American Economic Review*, 103(5), 1553-1597.
- *Autor, David, Frank Levy, and Richard Murnane (2003), "The Skill Content of Recent Technological Change: An Empirical Exploration", *Quarterly Journal of Economics*, 118(4), 1279-1333.
- *Atkinson, Anthony, Thomas Piketty, and Emmanuel Saez (2011), "Top Incomes in the Long Run of History", *Journal of Economic Literature*, 49(1), 3-71.
- Berman, Yonatan (2022), "The Long-Run Evolution of Absolute Intergenerational Mobility", *American Economic Journal: Applied Economics*, 14(3), 61-83.
- *Black, Sandra, Paul Devereux, Petter Lundborg, Kaveh Majlesi (2020), "Poor Little Rich Kids? The Role of Nature versus Nurture in Wealth and Other Economic Outcomes and Behaviors", *Review of Economic Studies*, 87(3), 1683-1725.
- Chetty, Raj, John Friedman, Emmanuel Saez, Nicholas Turner, Danny Yagan (2020), "Income Segregation and Intergenerational Mobility Across Colleges in the United States", *Quarterly Journal of Economics*, 135(2), 711-783.

- Kopczuk, Wojciech, Emmanuel Saez, and Jae Song (2010), "Earnings Inequality and Mobility in the United States: Evidence from Social Security Data since 1937", *Quarterly Journal of Economics*, 125(1), 91-128.
- * Saez, Emmanuel, and Gabriel Zucman (2016), "Wealth Inequality in the United States Since 1913: Evidence from Capitalized Income Tax Data", *Quarterly Journal of Economics*, 131(2), 519-578.

Classical Optimal taxation theories

- AS: Lecture 2 "Household Decisions, Income Taxation, and Labour Supply", Lecture 11 "Normative Analysis", Lecture 12 "The Structure of Indirect Taxation", Lecture 13 "The Structure of Income Taxation"
- HM: Chapter 13 "Optimality and Comparability", Chapter 15 "Commodity Taxation", Chapter 16 "Income Taxation"
- Diamond, Peter, and James Mirrlees (1971), "Optimal Taxation and Public Production 1; Production Efficiency", *American Economic Review*, 61(1), 8-27.
- Diamond, Peter, and James Mirrlees (1971), "Optimal Taxation and Public Production 2; Tax Rules", *American Economic Review*, 61(3) Part 1, 261-278.
- *Mankiw, Gregory, Matthew Weinzierl, and Danny Yagan (2009), "Optimal Taxation in Theory and Practice", *Journal of Economic Perspectives*, 23(4), 147-174.
- * Mirrlees, James (1971), "An Exploration in the Theory of Optimum Income Taxation", *Review of Economic Studies*, 38(2), 175-208.

Theories on provision of public goods

- AS: Lecture 9 "Distributional Effect of Taxation and Public Expenditure", Lecture 16 "Public Goods and Publicly Provided Private Goods"
- HM: Chapter 6 "Public Goods", Chapter 8 "Externalities", Chapter 9 "Imperfect Competition", Chapter 10 "Asymmetric Information"
- Bandiera, Oriana, Andrea Prat, and Tommaso Valetti (2009) "Active and Passive Waste in Government Spending: Evidence from a Policy Experiment", *American Economic Review*, 9(4), 1278-1308
- Gardenne, Lucie (2017) "Tax Me, but Spend Wisely? Sources of Public Finance and Government Accountability", *American Economic Journal: Applied Economics*, 9(1) 274-314
- *Liebman, Jeffrey, and Neale Mahoney (2017), "Do Expiring Budgets Lead to Wasteful Year-End Spending? Evidence from Federal Procurement", *American Economic Review*, 107(11), 3510-3549.
- *Rasul, Imran, and Daniel Rogger (2018), "Management of Bureaucrats and Public Service Delivery: Evidence from the Nigerian Civil Service", *Economic Journal*, 128, 413-446.

6.4 Fiscal capacity in developing countries: Week 6-8

Theoretical frameworks and empirical evidence on state capacity and weak states

- BP: Chapter 1 “Development Clusters”, Chapter 2 “Fiscal Capacity”
- Acemoglu, Daron (2005), “Politics and Economics in Weak and Strong States”, *Journal of Monetary Economics*, 52(7), 1199-1226
- *Acemoglu, Daron, Giuseppe De Feo, and Giacomo Davide De Luca (2020), “Weak States: Causes and Consequences of Sicilian Mafia”, *Review of Economic Studies*, 87(2), 537-581
- Acemoglu, Daron, Davide Ticchi, and Andrea Vindigni (2011), “Emergence and Persistence of Inefficient States”, *Journal of European Economic Association*, 9(2), 177-208.
- *Besley, Timothy (2020), “State Capacity, Reciprocity, and Social Contract”, *Econometrica*, 88(4), 1307-1335.
- *Besley, Timothy, and Torsten Persson (2009), “The Origins of State Capacity: Property Rights, Taxation, and Politics”, *American Economic Review*, 99(4), 1218-1244.
- *Dincecco, Mark, and Gabriel Katz, (2014), “State Capacity and Long-Run Economic Performance”, *The Economic Journal*, 126, 189-218
- Gennaioli, Nicola, and Hans-Joachim Voth, (2015), “State Capacity and Military Conflict”, *The Review of Economic Studies*, 82(4), 1409-1448
- Tilly, Charles (1985) “War Making and State Making as Organized Crime” in *Bringing the State Back In*, ed. by Peter Evans, Dietrich Rueschemeyer, and Theda Skocpol, Cambridge University Press, 169-191.
- *Weigel, Jonathan (2020), “The Participation Dividend of Taxation: How Citizens in Congo Engage More With The State When it Tries to Tax Them”, *Quarterly Journal of Economics*, 135(4), 1849-1903.

Challenges to tax collection in weak states: Informal economies and political economy

- BP: Chapter 4 “Political Violence”, Chapter 6 “Development Assistance”
- HM: Chapter 17 “Tax Evasion”
- *Allingham, Michael, and Agnar Sandmo (1972), “Income Tax Evasion: A Theoretical Analysis”, *Journal of Public Economics*, 1 323-338.
- *Benhassine, Najy, David McKenzie, Victor Pouliquen, and Massimiliano Santini, (2018), “Does Inducing Informal Firms to Formalize Make Sense? Experimental Evidence from Benin”, *Journal of Public Economics*, 157, 1-14
- Boadway, Robin, and Motohiro Sato (2009), “Optimal Tax Design and Enforcement with an Informal Sector”, *American Economic Journal: Economic Policy*, 1(1), 1-27.

- Ch, Rafael, Jacob Shapiro, Abbey Steel, and Juan F. Vargas, (2018), "Endogenous Taxation in Ongoing Internal Conflict: The Case of Colombia", *American Political Science Review*, 112(4), 996-1015
- *Gordon, Roger, and Wei Li, (2009), "Tax Structures in Developing Countries: Many Puzzles and a Possible Explanation", *Journal of Public Economics*, 93, 855-866
- *Henn, Soeren J., Christian Mastaki Mugaruka, Miguel Ortiz, Raúl Sánchez de la Sierra, David Qihang Wu (2025), "Monopoly of Taxation Without a Monopoly of Violence: The Weak State's Trade-Offs From Taxation", *Review of Economic Studies*, 92(2), 1126-1156
- Olsson, Ola, Maria Eriksson Baaz, and Peter Martinsson, (2020), "Fiscal Capacity in "Post"-Conflict States: Evidence from Trade on Congo River", *Journal of Development Economics*, 146, 102506
- *Sanchez de la Sierra, Ruben, (2020), "On the Origins of the State: Stationary Bandits and Taxation in Eastern Congo", *Journal of Political Economy*, 128(1), 32-74

Evolution of tax structures in developing countries

- Apeti, Ablam, and Eyah Denise Edoh (2023), "Tax Revenue and Mobile Money in Developing Countries", *Journal of Development Economics*, 161, 103014.
- *Balán, Pablo, Augustin Bergeron, Gabriel Tourek, and Jonathan L. Weigel, (2022), "Local Elites as State Capacity: How City Chiefs Use Local Information to Increase Tax Compliance in the Democratic Republic of Congo", *American Economic Review*, 112(3), 762-797
- *Basri, M. Chatib, Mayara Felix, Rema Hanna, and Benjamin A. Olken (2021), "Tax Administration versus Tax Rates: Evidence from Corporate Taxation in Indonesia," *American Economic Review*, 111(12): 3827–3871.
- *De Neve, Jan-Emmanuel, Clément Imbert, Johannes Spinnewijn, Teodora Tsankova, and Maarten Luts (2021), "How to Improve Tax Compliance? Evidence from Population-Wide Experiments in Belgium," *Journal of Political Economy* 129(5): 1425–1463.
- Holz, Justin, John List, Alejandro Zentner, Marvin Cardoza, and Joaquin Zentner (2023), "The \$100 Million Nudge: Increasing Tax Compliance of Firms Using a Natural Field Experiment", *Journal of Public Economics*, 218, 104779
- *Jensen, Anders (2022), "Employment Structure and the Rise of the Modern Tax System", *American Economic Review*, 112(1), 213-234
- Naritomi, Joana (2019), "Consumers as Tax Auditors", *American Economic Review*, 109(9), 3031-3072.
- Okunogbe, Oyebola, and Victor Pouliquen (2022), "Technology, Taxation, and Corruption: Experimental Evidence from Electronic Tax Filing", *American Economic Journal: Economic Policy*, 14(1):341-372.

- *Okunogbe, Oyebola, and Gabriel Tourek (2024), "How Can Lower-Income Countries Collect More Taxes? The Role of Technology, Tax Agents, and Politics", *Journal of Economic Perspectives*, 38(1), 81-106.
- *Pomeranz, Dina, (2015), "No Taxation without Information: Deterrence and Self-Enforcement in the Value Added Tax", *American Economic Review*, 105(8), 2539-2569

6.5 Anti-poverty programs and public service provision: Week 9-11

Targeting beneficiaries of public goods and services

- AS: Lecture 16 "Public Goods and Publicly Provided Private Goods"
- HM: Chapter 18 "Limits to Redistribution"
- *Alatas, Vivi, Abhijit Banerjee, Rema Hanna, Benjamin Olken, and Julia Tobias (2012), "Targeting the Poor: Evidence from a Field Experiment in Indonesia", *American Economic Review*, 102(4), 1206-1240.
- Banerjee, Abhijit, Rema Hanna, Gabriel Kreindler, and Benjamin Olken (2017), "Debunking the Stereotype of the Lazy Welfare Recipient: Evidence from Cash Transfer Programs Worldwide", *World Bank Research Observer*, 32, 155-184.
- *Castell, Laura, Marc Gurgand, Clément Imbert, and Todor Tochev (2025), "Take-up of Social Benefits: Experimental Evidence from France", *American Economic Journal: Economic Policy*, 17(4), 1-29.
- Deshpande, Manasi, and Yue Li (2019), "Who is Screened Out? Application Costs and the Targeting of Disability Programs", *American Economic Journal: Economic Policy*, 11(4), 213-248.
- *Kleven, Henrik, and Wojciech Kopczuk (2011), "Transfer Program Complexity and the Take up of Social Benefits", *American Economic Journal: Economic Policy*, 3(1), 54-90.
- Muralidharan, Karthik, Paul Niehaus, and Sandip Sukhtankar (2016), "Building State Capacity: Evidence from Biometric Smartcards in India", *American Economic Review*, 106(10), 2895-2929.
- *Niehaus, Paul, Antonia Atanassova, Marinane Bertrand, and Sendhil Mullainathan (2013), "Targeting with Agents", *American Economic Journal: Economic Policy*, 5(1), 206-238.
- *Nichols, Albert, and Richard Zeckhauser (1982), "Targeting Transfers through Restrictions on Recipients", *American Economic Review*, 72(2), 372-377

Types of public goods services: Cash vs in-kind transfers, conditional vs unconditional?

- *Baird, Sarah, Craig McIntosh, and Berk Özler (2011), "Cash or Condition? Evidence from a Cash Transfer Experiment", *Quarterly Journal of Economics*, 126(4), 1709-1753.

- Behrman, Jere, Susan Parker, and Petra Todd (2011), "Do Conditional Cash Transfers for Schooling Generate Lasting Benefits? A Five-Year Followup of Progres/Oportunidades", *Journal of Human Resources*, 46(1), 93-122.
- *Bergstrom, Katy, and William Dodds (2021), "The Targeting Benefit of Conditional Cash Transfers", *Journal of Public Economics*, 194, 104330.
- *Cunha, Jesse, Giacomo De Giorgi, and Seema Jayachandran (2019), "The Price Effects of Cash versus In-Kind Transfers", *Review of Economic Studies*, 86(1), 240-281.
- Currie, Janet, and Firouz Gahvari (2008), "Transfers in Cash or In-Kind: Theory Meets the Data", *Journal of Economic Literature*, 46(2), 333-383.
- *Gardenne, Lucie, Samuel Norris, Monica Singhal, and Sandip Sukhtankar (2024), "In-Kind Transfers as Insurance", *American Economic Review*, 114(9), 2861-2897.
- *Hidrobo, Melissa, John Hoddinott, Amber Peterman, Amy Margolies, and Vanessa Moreira (2014), "Cash, Food, or Vouchers? Evidence from a Randomized Experiment in Northern Ecuador", *Journal of Development Economics*, 107, 144-156.
- Lieber, Ethan, and Lee Lockwood (2019), "Targeting with In-Kind transfers: Evidence from Medicaid Home Care", *American Economic Review*, 109(4), 1461-1485.
- McIntosh, Craig, and Andrew Zeitlin (2024), "Cash versus Kind: Benchmarking a Child Nutrition Program Against Unconditional Cash Transfers in Uganda", *Economic Journal*, 134(664), 3360-3389.
- Parker, Susan, Petra Todd (2017), "Conditional Cash Transfers: The Case of Progres / Oportunidades", *Journal of Economic Literature*, 55(3) 866-915.

Universal income, and means-tested welfare programs across the globe

- *Banerjee, Abhijit, Paul Niehaus, and Tavneet Suri (2019), "Universal Basic Income in the Developing World", *Annual Review of Economics*, 11, 959-983.
- Daruich, Diego, and Raquel Fernández (2024), "Universal Basic Income: A Dynamic Assessment", *American Economic Review*, 114(1), 38-88.
- Eissa, Nada, and Hilary Hoynes (2011), "REdistributing and Tax Expenditures: The Earned Income Tax Credit", *National Tax Journal*, 64(2, part 2), 689-730.
- *Eissa, Nada, and Jeffrey Liebman (1996), "Labor Supply Response to Earned Income Tax Credit", *Quarterly Journal of Economics*, 111(2), 605-637.
- Ghatak, Maitreesh, and François Maniquet (2019), "Universal Basic Income: Some Theoretical Aspects", *Annual Review of Economics*, 11, 895-928.
- *Hanna, Rema, and Benjamin Olken (2018), "Universal Basic Incomes versus Targeted Transfers: Anti-Poverty Programs in Developing Countries", *Journal of Economic Perspectives*, 32(4), 201-226.

- *Kleven, Henrik (2024), "The EITC and the Extensive Margin: A Reappraisal", *Journal of Public Economics*, 236, 105135.
- *Moffit, Robert (2003), "The Negative Income Tax and the Evolution of U.S. Welfare Policy", *Journal of Economic Perspectives*, 17(3), 119-140.
- Riddell, Chris, and W. Craig Riddell (2024), "Welfare versus Work Under a Negative Income Tax: Evidence from the Gary, Seattle, Denver, and Manitoba Income Maintenance Experiments", *Journal of Labor Economics*, 42(2), 427-468.
- Verho, Jouko, Kari Hämäläinen, and Ohto Kanninen (2022), "Removing Welfare Traps: Employment Responses in the Finnish Basic Income Experiment", *American Economic Journal: Economic Policy*, 14(1), 501-522.

6.6 Organizational capacity of the state: Week 12-14

Allocation of authority across bureaucrats and managers and corruption

- *Aghion, Philippe, Jean Tirole (1997), "Formal and Real Authority in Organizations", *Journal of Political Economy*, 105(1), 1-29
- Alesina, Alberto, and Guido Tabellini (2007), "Bureaucrats or Politicians? Part II: Multiple Policy Tasks", *Journal of Public Economics*, 92(3-4), 426-447.
- *Bandiera, Oriana, Michael C. Best, Adnan Qadir Khan, and Andrea Prat (2021), "The Allocation of Authority in Organizations: A Field Experiment with Bureaucrats", *The Quarterly Journal of Economics*, 136(4), 2195-2242
- *Banerjee, Abhijit, Sendhil Mullainathan, and Rema Hanna (2012), "Corruption", NBER Working paper W17968
- Bertrand, Marianne, Simeon Djankov, Reman Hanna, Sendhil Mullainathan (2007), "Obtaining a Driver's License in India: An Experimental Approach to Studying Corruption", *Quarterly Journal of Economics*, 112(4), 1639-1676.
- *Dal Bó, Ernesto, Pedro Dal Bó, and Rafael Di Tella, (2006), "Plata o Plomo? Bribe and Punishment in a Theory of Political Influence", *American Political Science Review*, 100(1), 41-53
- Duflo, Esther, Michael Greenstone, Rohini Pande, and Nicholas Ryan (2018), "The Value of Regulatory Discretion: Estimates from Environmental Inspections in India", *Econometrica*, 86(6), 2123-2160.
- Sasso, Greg, and Massimo Morelli (2021), "Bureaucrats under Populism", *Journal of Public Economics*, 202, 104497.
- Weaver, Jeffrey (2021), "Jobs for Sale: Corruption and Misallocation in Hiring", *American Economic Review*, 111(10), 3093-3122.
- *Xu, Guo (2018) "The Costs of Patronage: Evidence from the British Empire", *American Economic Review*, 108(11), 3170-3198.

Recruiting capable and motivated individuals to public sector

- *Akhtari, Mitra, Diana Moreira, and Laura Trucco, (2022), "Political Turnover, Bureaucratic Turnover, and the Quality of Public Service", *American Economic Review*, 112(2), 442-493
- Ashraf, Nava, Oriana Bandiera, Edward Davenport, and Scott Lee (2020), "Losing Prosociality in the Quest for Talent? Sorting, Selection, and Productivity in the Delivery of Public Services", *American Economic Review*, 110(5), 1355-1394.
- Besley, Timothy, and Marta Reynal-Querol (2011), "Do Democracies Select More Educated Leaders?", *American Political Science Review*, 105(3), 552-566.
- Dahis, Ricardo, Laura Schiavon, and Thiago Scot (2025), "Selecting Top Bureaucrats: Admission Exams and Performance in Brazil", *Review of Economics and Statistics*, 107(2), 408-425.
- *Dal Bó, Ernesto, Frederico Finan, and Martín A. Rossi, (2013), "Strengthening State Capabilities: The Role of Financial Incentives in the Call to Public Service", *Quarterly Journal of Economics*, 128(3), 1169-1218
- *Dal Bó, Ernesto, Frederico Finan, Olle Folke, Torsten Persson, and Johanna Rickne, (2017), "Who Becomes a Politician?", *Quarterly Journal of Economics*, 132(4), 1877-1914
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6.7 Buffer week: Week 15

Could be used for either virtual paper presentation or Q & A sessions for final exams.

6.8 Final exam: Week 16

Specific logistics will be decided and announced by May. Papers marked with single asterisks and theoretical discussions will be covered in the exam.